Nelcast Ltd (NELCAST)

Concall tracker, Q2 2027 (Jul-Sep 2026) · Iron foundry in Tamil Nadu and Andhra Pradesh making heavy castings for tractors and trucks in India and for North American truck makers.

1. Snapshot

Number	Value	Plain read
Market cap	₹1,299 cr	A small company by stock-market value.
Q2 sales	₹406 cr, up 36% on a year ago	Its biggest quarter ever, with exports up nearly 80%.
Q2 operating margin	8% (6% a year ago, 4.6% last quarter)	It bounced back after a messy first quarter with labour shortages and costly metal.
Q2 net profit	₹16 cr, more than three times last year	Profit jumped because more tonnage ran through the same plants.
P/E	24.7	Investors pay about 25 years of current profit.
Return on capital	11.5%	Still a modest return, held back by the half-empty Pedapariya plant.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY26	19 May 2026	Yes
Q1 FY27	28 Jul 2026	Yes
Q2 FY27	3 Nov 2026	Yes, in full ★

Only the last three transcripts could be downloaded: the company moved its website and older transcript links on Screener and NSE now point to dead pages. The consistency read is therefore limited to about six months of calls.

Latest concall highlights — Q2 FY27 (3 Nov 2026)

- Record quarter: revenue ₹410 cr, up 35%, and operating profit per kg up to ₹14.3 from ₹10.3 a year ago.
- Exports up 78% to ₹141 cr as US truck demand returned after the 2025 tariff slowdown and ahead of new emission rules in January 2027.
- New heavy tractor and truck castings that were in development for several quarters are now in production and ramping up.
- New ₹75 cr machining investment, driven by one customer program, to be ramped up by H2 FY28.
- Target: over 1 lakh tons this year, ₹15/kg operating profit, and around ₹18/kg in about three years. Tractor demand to slow in H2, trucks expected to more than make up for it.

Business mix & capacity

- Domestic vs export: exports were about ₹254 cr of ₹755 cr first-half revenue, roughly a third of sales.
- Capacity: Ponneri ran just above 100% in H1; Pedapariya is about 60% used. Management aims for about 80% overall within three years.

3. Earning trigger thesis

The bet is that foundry capacity in the US and Europe keeps shrinking, so Indian foundries pick up export work. Nelcast already sells heavy truck castings into North America and has new heavy tractor parts just starting production. Filling the half-empty Pedapariya plant with these exports should lift profit per kg, which management targets at ₹15 now and about ₹18 in three years.

Trigger	What management said	Evidence so far	Time horizon	Strength
Exports to North America	Exports to grow faster than domestic; aims for about 50% more revenue in 2-3 years	Exports up 78% this quarter	2-3 years	Strong: showing now
New heavy castings	Production from Q2 FY27, meaningful in H2	Production started, early ramp	H2 FY27	Moderate: just started
Pedapariya utilisation	Fill the plant with new products	Around 60% used	3 years	Moderate
Machining	₹75 cr, ramped by H2 FY28	Just announced	FY28	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	Moving into machining and sub-assemblies for a customer program (Nov 2026).
Margin up	Yes	Operating profit per kg up to ₹14.3 from ₹10.3, target ₹15 then ₹18 (Nov 2026).
New management	No	No change mentioned.
New capacity	No	Uses spare Pedapariya capacity; no new plant.
Big orders	Yes	New large castings for heavy tractors and trucks won and now in production (Nov 2026).
Turnaround	Yes	Q1 labour and cost issues resolved, operations normalised (Nov 2026).
Promoter buying	No	Promoter stake flat at about 75%.

The single concrete driver: New heavy tractor and truck castings for export customers are filling the under-used Pedapariya plant and lifting profit per kg.

3c. Margin bridge

Operating profit per kg rose from ₹10.3 a year ago to ₹14.3, thanks to more exports, better pricing and normal operations after a weak Q1. Commodity prices and sea freight could still upset the ₹15 target (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2026	Stronger FY27 thanks to Pedapariya ramp and new products	H1 sales up 18%, record Q2	Delivered
Jul 2026	New products in production in Q2 FY27	Production started in Q2, early ramp	Delivered
Jul 2026	Q1 cost and labour issues temporary	Resolved by Q2	Delivered
FY27	Over 1 lakh tons, ₹15/kg	About 49,000 tons in H1, ₹14.3/kg in Q2	Too-early

Across the three calls read, the story is steady: exports, the Pedapariya ramp, and new heavy products. The new part this quarter is machining, a change from the old stance of leaving machining to partners. Management explains it as one customer's need. With only three transcripts, a longer record couldn't be checked.

5. Bottom line

Durable earning trigger? → YES

Exports and new products are visible in this quarter's numbers, and the plant has room to grow without heavy spending.

Management consistent? → MAYBE

What they promised in May and July showed up in Q2, but only half a year of calls was available, so the longer record is unchecked.

6. Checkpoints for next quarter

- Second-half tonnage keeps the full year above 1 lakh tons
- Operating profit per kg holds near ₹15
- New heavy castings add more export sales next quarter

Sources: Screener.in financials; Q4 FY26, Q1 FY27 and Q2 FY27 transcripts from the company's document storage linked from NSE filings. This is not investment advice. Do your own due diligence.